

Chapter 17

Schools of Thoughts in Macroeconomics

Lecturer: Mihyun You

Department of Economics
Georgetown University

Summer 2024



GEORGETOWN UNIVERSITY

Contents

- 1 History of Macroeconomics
- 2 Debates over Macroeconomic Policy



GEORGETOWN UNIVERSITY

Evolution of Macroeconomics

- Macroeconomics has evolved over time.
- It is clear that the history of macroeconomics is a rich and complex one, characterized by diverse schools of thoughts and shaped by both theoretical debates and real-world events.
- By understanding this history, economists and policymakers can gain a deeper understanding for the challenges and opportunities.
- Major schools of thoughts: classical macroeconomics, Keynesian school, monetarist school, new classical and new Keynesian schools, etc.
 - Each of these schools has its own unique perspective on how the economy functions, and they provide different policy recommendations for achieving macroeconomic stability.

Classical Macroeconomics

- Emerged in the late 18th century
- An economic theory that emphasizes the importance of free markets and laissez-faire policies policies.
 - Classical macroeconomists advocated for limited government intervention, arguing that interference can lead to market distortions and inefficiencies.
 - **Adam Smith**: *invisible hand*
 - **Jean-Baptiste Say**: Say's Law

Keynesian School

- The Great Depression during 1930s played a significant role in shaping the development of Keynesian economics.
- Classical macroeconomics failed to explain the prolonged and severe unemployment.
- Keynesian macroeconomists argued demand-side intervention (mostly expansionary fiscal policy) to stabilize the economy.
- The economic policies of President Franklin D. Roosevelt's New Deal were heavily influenced by Keynesian economics.

Monetarism

- Emerged in the mid-20th century, emphasizing the importance of controlling the money supply to stabilize the economy.
- Monetarism was developed by economist **Milton Friedman** as an alternative to Keynesian economics.
 - According to Monetarism, controlling inflation by regulating the money supply leads to long-term economic growth and stability.

$$MV \equiv PY$$

- P and V are constant in the short run, $\dot{M} = \dot{Y}$.

New Classical Macroeconomics

- Rational expectation revolution by **Robert Lucas** in 1960s

NOTE: Rational-Expectation Hypothesis

- People know the "true model" of the economy and that they use this model to form their expectations of the future
 - Decision makers use "all available information" in forming their expectations.
- Real Business Cycle Theory:
Emerged around 1980s as an attempt to explain business cycle fluctuations under the assumptions of complete price and wage flexibility and rational expectations. It emphasizes shocks to technology.
 - If the AS curve is vertical even in the short run, events or phenomena that shift the AD curve have no effect on real output.

New Keynesian Macroeconomics

- The stagflation of the 1970s (induced by negative cost shock, increase in oil prices) led to the emergence of new schools of thought that emphasized the importance of understanding the relationship between inflation and unemployment.
- A field which models are developed under the assumptions of rational expectations and price rigidity (sticky prices and wages).
 - A key improvement over New classical macroeconomics theory is the attention paid to studying sticky prices.
 - The New Keynesian model these frictions using the Phillips curve framework which relates inflation to real economic activity.
 - Dynamic stochastic general equilibrium (DSGE) model argues that monetary policy can affect real output.

Behavioral Macroeconomics

- Behavioral economics incorporates the insights of psychology and sociology into our understanding of the way economic agents make decisions.
- What happens to our description of the way markets work when we take into account cognitive biases, interest in fairness and social norms, concern with social status, or inconsistency in discounting?
- **Richard Thaler** received the Nobel Prize in 2017.

Changing the Gears to Normative Economics

- Recall the two approaches to study economics: positive and normative economics
- Normative economics evaluate economic behavior as good or bad, and makes policy prescriptions.
 - Four criteria: efficiency, equity, growth, and stability
- Although the same criteria are applied, the policy remedies will vary depending on each school of thought.
- Therefore, when you hear about certain policy implementations in the news, be careful about which school of thought the policymaker or economist (or even *politician*) is based on!

Should Monetary and Fiscal Policymakers Try to Stabilize the Economy?

- Pro: Policymakers should try to stabilize the economy
 - The economy is inherently unstable and policy can manage aggregate demand to offset the inherent instability.
- Con: Policymakers should not try to stabilize the economy
 - Policy affects the economy with various kinds of lags and mankind's ability to forecast future economic condition is poor.
 - Thus, attempts to stabilize the economy can end up being destabilizing.

Should the Government Fight Recessions with Spending Hikes Rather Than Tax Cuts?

- Pro: The government should fight recession with spending hikes
 - Because extra income from tax cuts may be saved rather than spent, direct government spending provides a greater boost to increase aggregate demand, which is key to promoting production and employment.
- Con: The government should fight recession with tax cuts
 - Tax cuts can expand both aggregate demand and aggregate supply and that hasty increases in government spending may lead to wasteful public projects.

Should Monetary Policy Be Made by Rule Rather Than by Discretion?

- Pro: Monetary policy should be made by rule
 - Discretionary policy can suffer from incompetence, the abuse of power, and time inconsistency.
- Con: Monetary policy should not be made by rule
 - Discretionary policy is more flexible in responding to changing economic circumstances.

Should the Central Bank Aim for Zero Inflation?

- Pro: The central bank should aim for zero inflation
 - Inflation has many costs and few benefits.
 - Cost of eliminating inflation—depressed output and increased unemployment—is only temporary.
 - Even this cost can be reduced if the central bank announces a credible plan to reduce inflation, thereby directly lowering expectations of inflation.
- Con: The central bank should not aim for zero inflation
 - Moderate inflation imposes only small costs on society and that the recession necessary to reduce inflation to zero is quite costly.
 - Moderate inflation is beneficial to an economy.

Should the Government Balance Its Budget?

- Pro: The government should balance its budget
 - Budget deficits impose an unjustifiable burden on future generations by raising their taxes and lowering their incomes.
- Con: The government should not balance its budget
 - The deficit is only one small piece of fiscal policy.
 - Single-minded concern about the budget deficit can obscure the many ways in which policy, including various spending programs, affects different generations.
 - Balanced budget functions as an automatic destailizer.

Should the Tax Laws Be Reformed to Encourage Saving?

- Pro: The tax laws should be reformed to encourage saving
 - Our society discourages saving in many ways, such as by heavily taxing capital income and by reducing benefits for those who have accumulated wealth.
 - They endorse reforming the tax laws to encourage saving, perhaps by switching from an income tax to a consumption tax.
- Con: The tax laws should not be reformed to encourage saving
 - Many proposed changes to stimulate saving would primarily benefit the wealthy, who do not need a tax break.
 - They also argue that such changes might have only a small effect on private saving.
 - Raising public saving by reducing the government's budget deficit would provide a more direct and equitable way to increase national saving.